Modis Navnirman Ltd

Concall tracker, Q2 2027 (quarter to Sep 2026) · NSE/BSE: MODIS · first report on this company

1. Snapshot

A Mumbai developer that rebuilds old housing-society buildings in the western suburbs (Kandivali, Borivali, Malad, Goregaon, Dahisar, now Khar). The old residents get bigger new flats free; Modis sells the extra flats and shops in the new tower and keeps the profit. It doesn't buy land, so it needs little capital up front.

Number	Value	Plain read
Market cap	₹847 cr	A small company; the whole business is valued at under a thousand crore.
FY26 revenue	₹189 cr	Sales for the year to March 2026, up about 84% on FY25 as two projects were finished and handed over.
FY26 profit	₹29 cr	Up about a quarter, slower than sales because building-material costs jumped in the second half.
H1 FY27 revenue / profit	₹128 cr / ₹19 cr	The first half of this year already gives two-thirds of last year's full-year sales; up 53% and 59% on last year's first half.
Operating margin (Q2 FY27)	about 21%	About a fifth of each rupee of sales is left as operating profit, back up from a 9% low in the March 2026 quarter.
Debt / P/E / ROE	Debt-free · 23x · 20.5%	No borrowings to speak of; the price is 23 years of current profit; it earns about a fifth on shareholders' money each year.

2. Concall coverage

Quarter	Call date	Transcript read?
Q2 FY26 (H1 FY26)	10 Nov 2025	Yes
Q3 FY26	17 Feb 2026	Yes
Q4 FY26 (full year)	18 May 2026	Yes
Q1 FY27	10 Aug 2026	Yes
Q2 FY27 (H1 FY27)	26 Oct 2026	Yes, read in full

Five calls covering one year. Modis only started holding calls after its results in late 2025 (it moved from the SME board to the NSE/BSE main board in early 2026), so the consistency read rests on a short record.

Latest concall highlights, Q2 FY27 (26 Oct 2026)

- Quarter sales ₹69 cr, up from ₹58 cr in Q1; profit ₹10.5 cr, up from ₹8.5 cr. Steady quarter-on-quarter climb.
- First-half bookings of about 78,560 sq ft worth ₹202 cr, at about ₹25,700 per sq ft. That's new sales signed, which turn into revenue as towers rise.
- Two new towers, Rashmi Icon and Rashmi Avenue, started in H1 and drove about 40% of bookings. Rashmi Paradise (Malad) was set to launch on 30 Oct at ₹27,000-30,000 per sq ft, above today's average.
- Management says the three nearly-finished towers (Square, Signature, Manorath/Delight) bring in about ₹200 cr of revenue in H2 and finish by 31 March 2027; OC for Rashmi Square to be applied for in December.
- Tone confident, at times sweeping ("no factors will affect our margins"). Operating cash flow was negative about ₹16.5 cr in H1 because money is tied up in unsold flats.

Business mix & capacity
Domestic 100%: every project is in Mumbai's western suburbs. No exports.
Capacity: 6 projects under construction (12.1 lakh sq ft), 5 more in the pipeline (about 10.5 lakh sq ft, all residential-plus-commercial). Management says it can sign upwards of ₹500 cr of new project value a year without borrowing.

3. Earning trigger thesis

The engine is a stack of redevelopment towers reaching completion at the same time while new, pricier ones launch. Under percentage-of-completion accounting, revenue shows up as each tower rises, so the three towers finishing by March 2027 plus the two started this year keep sales climbing. Launch prices in the newer projects are higher, which should lift margin a little. The catch: cash is lagging profit, and completion dates have already slid once.

Trigger	What management said	Evidence so far	Time horizon	Strength
Completion of Square, Signature, Manorath, Delight	About ₹200 cr in H2, all done by 31 Mar 2027	Square 80% built, Signature 61%, Delight 55%, Manorath 51%	H2 FY27	Moderate: the work is far along, but Signature's handover date has already moved twice
New launches (Icon, Avenue, Paradise)	Icon/Avenue only 20-30% sold; Paradise priced higher	Icon and Avenue drove 40% of H1 bookings	FY27-FY29	Strong: bookings are real and showing in sales value
Pipeline additions	₹500 cr+ of project value signed every year, all without debt	Paradise agreement signed; Sheetal, Royale, Aurea agreements "post-Diwali"	FY27-FY28	Unproven: three of the four agreements aren't signed yet

3b. Trigger check

Trigger type	Yes/ No	What was said (date)
Debt cut	No	Already debt-free; says it will stay so (Oct 2026)
New business	No	Same redevelopment model; only a new micro-market (Khar)
Margin up	Yes	"EBITDA margins will be... going to improve from here on" as towers complete and launch prices rise (26 Oct 2026)
New management	No	Family-run; no change
New capacity	Yes	Rashmi Icon and Rashmi Avenue started in H1; Paradise launch planned 30 Oct 2026
Big orders	Yes	Sales book ₹202 cr in H1; about ₹661 cr of revenue still to come from current projects (26 Oct 2026)
Turnaround	No	Not applicable
Promoter buying	No	Not mentioned on the calls

Single concrete driver: four Mumbai redevelopment towers reach completion by March 2027 while two new, higher-priced ones (Icon, Avenue) start booking revenue.

3c. Margin bridge

Operating margin dropped to about 9% in the March 2026 quarter from the low-20s a year earlier, then came back to about 21% by September 2026. Management blamed the dip on building-material prices that spiked "when the war started" and on construction spending in the larger towers; it says that's behind it and that completion-stage towers and higher launch prices push margins up from here (lasting, per management).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Nov 2025	Full FY26 on similar lines or better; Rashmi Celestia handover to boost it	FY26 revenue ₹189 cr vs ₹83 cr in H1; Celestia OC received in Q4	Delivered
Nov 2025 / Feb 2026	Migrate to NSE/BSE main board	Done by Feb 2026	Delivered
Feb 2026	Launch Rashmi Icon and Rashmi Avenue that quarter	Icon launched 9 Feb, Avenue followed; both under construction by H1 FY27	Delivered
May 2026	Margin dip is temporary	Margin back to about 21% by Q2 FY27	Delivered
May 2026	Rashmi Signature handed to society in Q1 FY27	Aug: "Q3 with OC"; Oct: complete by March 2027	Missed (slipped twice)
Aug 2026	Rashmi Paradise starts in Q2; Sheetal and another in Q3; Khar in Q4	Paradise launch moved to 30 Oct; other agreements still to be signed post-Diwali	Partly
Throughout	Stay debt-free	Still no meaningful debt	Delivered

Narrative drift: the story is steady: redevelopment only, asset-light, no debt, western suburbs. What drifts is dates. Handovers and launches keep sliding a quarter, and the CFO also corrected himself on the call about when cash flow turns positive ("FY27... FY28, sorry"). Answers are often sweeping rather than specific, so treat confident one-liners with care.

5. Bottom line

Durable earning trigger? → YES

The trigger is concrete and already in the numbers: towers are far along, new launches are booking well, and every project funds itself. It's a one-region, one-model business with lumpy revenue recognition, so quarters will wobble, but the next two years of revenue sit in projects already under way.

Management consistent? → MAYBE

The big promises (main-board listing, launches, staying debt-free, margin recovery) were kept. Dates keep slipping though, Signature most clearly, and the record is only five calls long. Negative operating cash flow while reporting healthy profit is the thing to keep an eye on.

6. Checkpoints for next quarter

- Rashmi Square OC applied for in December as promised
- Development agreements for Sheetal, Royale and Aurea signed
- Rashmi Paradise launched and booking at the higher price band

Sources: five Modis Navnirman earnings-call transcripts (Nov 2025 to Oct 2026, via Screener/BSE), Screener financials. Not investment advice.